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The Exchange Ratio

THE HIGHLIGHT OF PURSHOTAMDAS'S CAREER in the Legislative Assembly was the great battle he waged over the celebrated rupee-ratio controversy, described by Anand Chandavarkar as the King Charles's head of Indian economic history.[1] Purshotamdas almost single-handedly fought against a formidable combination of British interests, entrenched behind a powerful group of bureaucrats and businessmen. He wanted the rupee to be pegged at 1s 4d instead of 1s 6d which he felt was deleterious to India's economic interests. Around this question was to develop a crusade in which Purshotamdas was to play a leading role.

HISTORICAL BACKGROUND

To fully appreciate Purshotamdas's role in the ratio battle, some familiarity with the history of Indian currency and exchange during the decades preceding the establishment of the RBI is necessary. This history is highly complicated and even John Maynard Keynes was constrained to remark that, 'Indian currency is far too complicated a subject to be mastered at a moment's notice.'[2] The principal issues that figured in the various discussions on Indian currency were the appropriate monetary standard for India, the exchange rate of the rupee, and the composition and location of monetary and exchange reserves of the country.[3]

At the beginning of the nineteenth century no uniform measure of value existed in British India. Gold as well as silver coins which differed in denomination and intrinsic value were in circulation throughout India. Out